

Deccan Commonwealth Bank

Know Your Customer (KYC) Policy

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1. Purpose and Scope

This policy sets out how Deccan Commonwealth Bank (DCB) identifies and verifies customers, understands the nature of their business, and keeps customer information current. It applies to all branches, business units and digital channels, and to all customer types: individuals, sole proprietors, partnerships, companies, trusts and non-profit organisations. This version (4.0) replaces version 3.2 with effect from 1 April 2026.

2. Customer Acceptance

DCB will not open an account where the customer's identity cannot be verified using officially valid documents or where the customer refuses to provide required information. Accounts will not be opened in anonymous or fictitious names. Every new customer is screened against the sanctions and watchlist database before account activation (see DCB-PRC-SCR). Customers classified High Risk at onboarding require approval from the Zonal Compliance Head before activation.

3. Customer Risk Categorisation

Every customer is assigned a risk category of Low, Medium or High at onboarding using the Customer Risk Rating Methodology (DCB-MTH-CRR). Factors include customer type, occupation or line of business, geography, product usage, delivery channel and PEP status. Politically Exposed Persons (PEPs), customers with exposure to jurisdictions on the DCB High-Risk Jurisdiction Register, and cash-intensive businesses are classified High Risk by default.

4. Enhanced Due Diligence for PEPs

Onboarding or continuing a relationship with a PEP, or a family member or close associate of a PEP, requires approval from the Head of Compliance. The customer must provide a source of wealth and source of funds declaration, supported by documentary evidence. PEP relationships are reviewed at least once every 12 months.

5. Periodic Updation of KYC

KYC records are updated at least once every 2 years for High Risk customers, once every 8 years for Medium Risk customers and once every 10 years for Low Risk customers. Where a customer fails to complete periodic updation within 90 days of the due date, the account is placed under partial freeze (credits permitted, debits restricted) after written notice.

6. Internal Cash Monitoring Thresholds

In addition to regulatory reporting, DCB applies internal review thresholds to cash activity. A single cash deposit of Rs 3,00,000 or more, or aggregate cash deposits of Rs 9,00,000 or more within any rolling 10-day window, generates an internal monitoring alert for review by the Transaction Monitoring team. Cash deposits into a single account across three or more branches within 10 days are flagged as a structuring indicator.

7. Roles and Responsibilities

Branch staff perform customer identification and document collection. The Transaction Monitoring team reviews alerts. The Zonal Compliance Head approves High Risk onboarding. The Head of Compliance approves PEP relationships. The Principal Officer is responsible for reporting obligations under the Prevention of Money Laundering Act (PMLA).